SDG BLOCKCHAIN ACCELERATOR

Market Penetration Strategy
SALA

1. Strategic Context and Market Entry Logic

The problem SALA addresses is not the absence of diplomas , it is the **absence of trust, speed, and interoperability in verification**.

Today, diploma verification in Bosnia and Herzegovina is:

- manual
- slow (days to weeks)
- fragmented across institutions
- vulnerable to fraud

This creates friction in:

- employment
- cross-border education
- institutional cooperation

As outlined in the roadmap, the system relies on manual checks that introduce delays, costs, and trust issues, particularly in international contexts.

The key structural issue is that **verification is institution-bound**, not system-based.

SALA introduces:

- verifiable credentials (W3C standard)
- user-controlled digital diplomas
- instant verification via public infrastructure
- no PII on-chain (privacy-preserving design)

Strategic Thesis

SALA does not win by selling software.

It wins by becoming:

The default verification standard embedded into institutional workflows

Core Insight

This is a **two-sided institutional market**:

- universities (issuers)
- employers / institutions (verifiers)

Adoption requires both sides , but neither side moves first easily.

Therefore, the strategy is:

Start with one high-credibility issuer → create verification demand → expand network effects

2. Market Structure and Opportunity

The market is not defined by revenue first , it is defined by **credential volume and verification frequency**.

2.1 Initial Addressable Market (Bosnia)

Metric	Estimate
University of Sarajevo students/graduates	~30,000+
Annual graduates	~6,000–8,000
Diplomas issued annually	~6,000
Verifications per diploma (lifetime avg)	3–10

2.2 Annual Verification Volume

Scenario	Verifications
Conservative	20,000/year
Moderate	40,000/year
High adoption	60,000+/year

2.3 Expansion Opportunity

Market	Drivers
National (BiH)	Multiple universities, fragmented system
EU alignment	Mobility, Erasmus, employment
Digital identity wallets	IDDEEA / EUDI wallet integration

Key Insight

The value is not in issuing credentials , it is in **owning the verification layer**.

3. Market Dynamics and Adoption Constraints

This market is constrained by **institutional inertia**, not technology.

3.1 Core Constraints

Constraint	Description	Impact
Institutional inertia	Universities slow to adopt new systems	Long sales cycles
Legal uncertainty	Regulatory alignment required	Delays deployment
Network dependency	Verifiers need issuers and vice versa	Chicken-and-egg problem
UX friction	Wallet onboarding complexity	User drop-off risk

3.2 Adoption Reality

- Universities will not adopt unless:
  - legally safe
  - operationally simple
  - aligned with standards
- Employers will not adopt unless:
  - verification is instant

    - trust is guaranteed
    - process is simpler than current method

4. Target Market and Entry Strategy

The entry strategy must focus on **institutional credibility, not scale**.

4.1 Initial Entry Point

Component	Target
Issuer	University of Sarajevo
Faculties	2 pilot faculties
Credentials	≥100 issued
Employers	8–10 engaged
Verifications	≥150

Strategic Rationale

- University of Sarajevo provides:
    - legitimacy
    - scale
    - central IT (UTIC)
- Controlled pilot allows:
    - legal alignment
    - UX refinement
    - stakeholder buy-in

4.2 Expansion Model

Phase	Target
Phase 1	University-level adoption

Phase 2	Multi-university adoption
Phase 3	National integration
Phase 4	EU interoperability

5. Go-To-Market Strategy

The go-to-market strategy is built around **institution-led adoption**, where credibility, compliance, and workflow integration drive entry rather than user-driven growth.

SALA enters the market through a **flagship institution**, specifically the University of Sarajevo, which provides legitimacy, scale, and centralized IT coordination. This reduces adoption risk for other institutions and creates a credible reference point.

The initial deployment is intentionally constrained. The system is introduced within a limited number of faculties, where full issuance and verification flows can be executed end-to-end. This includes credential issuance, wallet delivery, verification via QR or link, and revocation handling.

The objective of the pilot is not scale, but **proof of operational and institutional viability**. Success is measured through real usage: credentials issued, successful claims, and active verifications.

Once validated, expansion follows a structured path:

- first within the same university (additional faculties)
- then across other universities
- and finally toward national and EU-level interoperability

The core principle is simple:
SALA scales only after it proves it can **replace or outperform existing verification processes in real institutional workflows**.

6. Competitive Landscape

This is a **standards-driven market**, not a typical competitive SaaS space.

6.1 Functional Competition

Category	Example	Limitation
Manual verification	Universities, registrars	Slow, costly
PDF diplomas	Static documents	Not verifiable
Centralized databases	Government systems	Lack interoperability
EU initiatives	EBSI, EUDI	Not localized / not implemented

6.2 Strategic Positioning

SALA positions itself as:

A standards-compliant credential infrastructure layer

Key differentiators:

- W3C VC alignment
- OpenID4VCI/VP support
- privacy-preserving (no PII on-chain)
- compatible with EU frameworks

7. Market Entry Strategy

The entry strategy must minimize institutional resistance.

7.1 Phase 1: Pilot Deployment (0–3 months)

Objective:

- demonstrate end-to-end flow

Key components:

- issuance
- wallet delivery

- verification portal
- revocation logic

Success metrics:

- issuance ≥100 credentials
- claim success ≥90%
- verification ≤2 seconds

7.2 Phase 2: Institutional Embedding (3–9 months)

Focus:

- registrar workflow integration
- policy alignment
- legal documentation

Outcome:

- system becomes part of issuance process

7.3 Phase 3: Network Expansion (9–18 months)

Focus:

- additional universities
- employer network expansion

Goal:

- increase verification frequency

7.4 Phase 4: National & EU Integration (18+ months)

Focus:

- IDDEEA integration
- EUDI wallet compatibility
- cross-border verification

8. Scaling Plan

Scaling in SALA is driven by **institutional adoption and verification volume**, not by individual user growth.

The first phase focuses on validating the system within a single university. This includes integrating with existing issuance workflows, ensuring legal alignment, and confirming that verification works reliably in real-world scenarios.

Once validated, the system expands within the same institution. Additional faculties are onboarded, increasing credential volume and internal adoption.

The next phase involves onboarding additional universities. At this stage, the focus shifts to interoperability and standardization across institutions. Verification frequency increases as more credentials enter the system.

Long-term scaling is tied to national and European integration. This includes alignment with:

- national identity systems (e.g., IDDEEA)
- EU digital identity frameworks (EUDI wallet)
- cross-border verification standards

At scale, SALA becomes:

- a system of record for credentials
- a verification layer across institutions
- a foundation for digital identity integration

The key driver of growth is not the number of users, but the **number of credentials issued and verified over time**.

9. Revenue Model and Scaling Logic

Revenue is driven by **institutional adoption**, not individual users.

9.1 Revenue Streams

Stream	Description
Institutional licensing	Universities
Implementation fees	Setup and integration
Support / SLA	Ongoing operations

Verification APIs	Enterprise integrations

9.2 Revenue Projection Example

Metric	Year 1	Year 2	Year 3
Universities	1	3	8
Credentials issued	1,000	10,000	50,000
Revenue	$50K	$200K	$800K

Key Insight

Revenue scales with:

- number of institutions
- credential volume
- verification frequency

10. Adoption Strategy

Adoption must be driven by **workflow improvement, not innovation appeal**.

10.1 Adoption Drivers

User	Driver	Barrier	Solution
Students	Instant proof	Wallet friction	Guided onboarding
Employers	Fast verification	Awareness	Simple QR flow
Universities	Efficiency	Legal risk	Compliance-first design
Government	Data visibility	Fragmentation	Standardization

10.2 Core Mechanism

Adoption happens when:

- issuing becomes easier than current process
- verification becomes instant
- compliance risk is minimized

11. Key Risks and Mitigation

Risk	Description	Mitigation
Legal risk	Regulatory uncertainty	Pilot as complementary system
Adoption lag	Institutions slow to move	Start with 1 flagship university
Wallet friction	UX complexity	Single wallet + simple guide
System trust	False positives	Fail-safe verification logic

12. User Acquisition Strategy

User acquisition in SALA is fundamentally different from traditional platforms. It is driven through **institutional onboarding**, not direct user acquisition.

Universities act as the primary entry point. Once an institution adopts SALA, all students receiving credentials automatically become users. This removes the need for individual onboarding at scale and ensures immediate distribution.

Employer adoption is driven by utility. Verification is made significantly faster and simpler than existing processes, typically through a QR-based or link-based flow. This creates a strong incentive for employers to use the system without requiring extensive onboarding or training.

Students are onboarded passively through issuance. Their interaction with the system is minimal but meaningful receiving credentials, storing them in a wallet, and sharing them when needed. Adoption is therefore usage-driven, not behaviorally forced.

The key challenge is the **chicken-and-egg dynamic** between issuers and verifiers. SALA addresses this by:

- starting with a high-credibility issuer
- enabling real verification flows early
- using actual credentials to drive employer engagement

The result is a system where:

- universities onboard users
- employers create demand
- students benefit without friction

13. Branding Strategy

SALA is positioned not as a product, but as **infrastructure for credential verification**.

The emphasis is not on innovation, but on **trust, compliance, and reliability**. In a conservative institutional environment, credibility matters more than features.

The platform is framed as:

- a standard-aligned system (W3C VC, OpenID)
- a privacy-preserving solution (no PII on-chain)
- a long-term infrastructure layer for education and employment

Messaging is tailored to each stakeholder group.

For universities, the focus is on:

- reducing administrative burden
- improving efficiency
- maintaining compliance with emerging standards

For employers:

- instant verification
- reduced fraud risk
- simplified hiring workflows

For students:

- ownership of credentials
- ease of sharing
- portability across borders

Over time, SALA aims to be perceived not as a new tool, but as the **default way credentials are issued and verified**.

14. Strategic Conclusion

SALA is not building a product , it is introducing a **new verification standard** into a conservative institutional environment.

The opportunity lies in transforming:

- manual, fragmented verification
  into
- instant, trusted, and interoperable credential systems

Success depends on one thing:

Whether SALA becomes embedded in the issuance workflow of institutions.

If that happens:

- every diploma becomes a distribution channel
- every verification reinforces the system
- network effects compound over time

At that point, SALA transitions from:

- a pilot solution
  to
- a foundational layer in digital education infrastructure